

Dual variables \ Primal variables	$x_1 \geq 0$	$x_2 \geq 0$	$x_3 \geq 0$	$\dots$	$x_n \geq 0$
$y_1 \geq 0$	a_{11}	a_{12}	a_{13}	$\dots$	a_{1n}
$y_2 \geq 0$	a_{21}	a_{22}	a_{23}	$\dots$	a_{2n}
$\vdots$	$\vdots$	$\vdots$	$\vdots$	$\vdots$	$\vdots$
$y_m \geq 0$	a_{m1}	a_{m2}	a_{m3}	$\dots$	a_{mn}
Dual Relation	IV	IV	IV	IV	IV
Max z	c_1	c_2	c_3	$\dots$	c_n

Duality and Sensitivity Analysis

Our proof of the Dual Theorem showed that if a set of basic variables BV is feasible, then BV is optimal (that is, each variable in row 0 has a nonnegative coefficient) if and only if the associated dual solution, $\mathbf{c}_{BV}B^{-1}$, is dual feasible.

This result can be used to yield an alternative way of doing the following types of sensitivity analysis:

- Change 1** Changing the objective function coefficient of a nonbasic variable
- Change 4** Changing the column of a nonbasic variable
- Change 5** Adding a new activity

Table 4.2

	Primal feasible	Dual feasible
1	Maximize $z = 2x_1 + x_2$, subject to: $x_1 + x_2 \leq 4$, $x_1 - x_2 \leq 2$, $x_1 \geq 0, x_2 \geq 0$.	Minimize $v = 4y_1 + 2y_2$, subject to: $y_1 + y_2 \geq 2$, $y_1 - y_2 \geq 1$, $y_1 \geq 0, y_2 \geq 0$.
2	Primal feasible and unbounded Maximize $z = 2x_1 + x_2$, subject to: $x_1 - x_2 \leq 4$, $x_1 - x_2 \leq 2$, $x_1 \geq 0, x_2 \geq 0$.	Dual infeasible Minimize $v = 4y_1 + 2y_2$, subject to: $y_1 + y_2 \geq 2$, $-y_1 - y_2 \geq 1$, $y_1 \geq 0, y_2 \geq 0$.
	Primal infeasible Maximize $z = 2x_1 + x_2$, subject to: $-x_1 - x_2 \leq -4$, $x_1 + x_2 \leq 2$, $x_1 \geq 0, x_2 \geq 0$.	Dual feasible and unbounded Minimize $v = -4y_1 + 2y_2$, subject to: $-y_1 + y_2 \geq 2$, $-y_1 + y_2 \geq 1$, $y_1 \geq 0, y_2 \geq 0$.
	Primal infeasible Maximize $z = 2x_1 + x_2$, subject to: $-x_1 + x_2 \leq -4$, $x_1 - x_2 \leq 2$, $x_1 \geq 0, x_2 \geq 0$.	Dual infeasible Minimize $v = -4y_1 + 2y_2$, subject to: $-y_1 + y_2 \geq 2$, $y_1 - y_2 \geq 1$, $y_1 \geq 0, y_2 \geq 0$.

BV_i = basic variable for i th constraint in the optimal tableau

$\mathbf{c}_{BV}$ = row vector whose i th element is the objective function coefficient of the i th variable in the LP

$\mathbf{a}_j$ = column for variable x_j in constraints of original LP

$\mathbf{b}$ = right-hand side vector for original LP

$\bar{c}_j$ = coefficient of x_j in row 0 of the optimal tableau

How to Compute Optimal Tableau from Initial LP

$$\text{Column for } x_j \text{ in optimal tableau's constraints} = B^{-1}\mathbf{a}_j \quad (5)$$

$$\text{Right-hand side of optimal tableau's constraints} = B^{-1}\mathbf{b} \quad (6)$$

$$\bar{c}_j = \mathbf{c}_{BV}B^{-1}\mathbf{a}_j - c_j \quad (10)$$

$$\text{Coefficient of slack variable } s_i \text{ in optimal row 0} = \text{ith element of } \mathbf{c}_{BV}B^{-1} \quad (10')$$

$$\text{Coefficient of excess variable } e_i \text{ in optimal row 0} = -(\text{ith element of } \mathbf{c}_{BV}B^{-1}) \quad (10'')$$

$$\text{Coefficient of artificial variable } a_i \text{ in optimal row 0} = (\text{ith element of } \mathbf{c}_{BV}B^{-1}) + M \quad (10''')$$

$$\text{Right-hand side of optimal row 0} = \mathbf{c}_{BV}B^{-1}\mathbf{b} \quad (11)$$

Finding the Optimal Solution to the Dual of an LP

If the primal is a max problem, then the optimal dual solution may be read from row 0 of the optimal tableau by using the following rules:

$$\text{Optimal value of dual variable } y_i = \text{coefficient of } s_i \text{ in optimal row 0 if Constraint } i \text{ is a } \leq \text{ constraint} \quad (31)$$

$$\text{Optimal value of dual variable } y_i = -(\text{coefficient of } e_i \text{ in optimal row 0) if Constraint } i \text{ is a } \geq \text{ constraint} \quad (31')$$

$$\text{Optimal value of dual variable } y_i \text{ if Constraint } i \text{ is an equality constraint} = (\text{coefficient of } a_i \text{ in optimal row 0}) - M \quad (31'')$$

If the primal is a min problem, then the optimal dual solution may be read from row 0 of the optimal tableau by using the following rules:

$$\text{Optimal value of dual variable } x_i = \text{coefficient of } s_i \text{ in optimal row 0 if Constraint } i \text{ is a } \leq \text{ constraint}$$

$$\text{Optimal value of dual variable } x_i = -(\text{coefficient of } e_i \text{ in optimal row 0) if Constraint } i \text{ is a } \geq \text{ constraint}$$

$$\text{Optimal value of dual variable } x_i \text{ if Constraint } i \text{ is an equality constraint} = (\text{coefficient of } a_i \text{ in optimal row 0}) + M$$

TABLE 9
Summary of Sensitivity Analysis (Max Problem)

Change in Initial Problem	Effect on Optimal Tableau	Current Basis Is Still Optimal If:
Changing nonbasic objective function coefficient c_j	Coefficient of x_j in optimal row 0 is changed	Coefficient of x_j in row 0 for current basis is still nonnegative
Changing basic objective function coefficient c_j	Entire row 0 may change	Each variable still has a nonnegative coefficient in row 0
Changing right-hand side of a constraint	Right-hand side of constraints and row 0 are changed	Right-hand side of each constraint is still nonnegative
Changing the column of a nonbasic variable x_j or adding a new variable x_j	Changes the coefficient for x_j in row 0 and x_j 's constraint column in optimal tableau	The coefficient of x_j in row 0 is still nonnegative

Shadow Prices (Again)

For a maximization LP, the shadow price of the i th constraint is the value of the i th dual variable in the optimal dual solution. For a minimization LP, the shadow price of the i th constraint = $-(i$ th dual variable in the optimal dual solution). The shadow price of the i th constraint is found in row $i + 1$ of the DUAL PRICES portion of the LINDO printout.

$$\text{New optimal } z\text{-value} = (\text{old optimal } z\text{-value}) + (\text{Constraint } i \text{ shadow price}) \Delta b_i \quad (\text{max problem}) \quad (37)$$

$$\text{New optimal } z\text{-value} = (\text{old optimal } z\text{-value}) - (\text{Constraint } i \text{ shadow price}) \Delta b_i \quad (\text{min problem}) \quad (37')$$

A $\geq$ constraint will have a nonpositive shadow price; a $\leq$ constraint will have a nonnegative shadow price; and an equality constraint may have a positive, negative, or zero shadow price.

The Dual Simplex Method

The dual simplex method can be applied (to a max problem) whenever there is a basic solution in which each variable has a nonnegative coefficient in row 0. If we have found such a basic solution, then the dual simplex method proceeds as follows:

Step 1 If the right-hand side of each constraint is nonnegative, then an optimal solution has been found; if not, then at least one constraint has a negative right-hand side, and we go to step 2.

Step 2 Choose the most negative basic variable as the variable to leave the basis. The row in which this variable is basic will be the pivot row. To select the variable that enters the basis, compute the following ratio for each variable x_j that has a negative coefficient in the pivot row:

$$\frac{\text{Coefficient of } x_j \text{ in row 0}}{\text{Coefficient of } x_j \text{ in pivot row}}$$

Choose the variable that has the smallest ratio (absolute value) as the entering variable. Use EROs to make the entering variable a basic variation in the pivot row.

Step 3 If there is any constraint in which the right-hand side is negative and each variable has a nonnegative coefficient, then the LP has no feasible solution. Infeasibility would be indicated by the presence (after possibly several pivots) of a constraint such as $x_1 + 2x_2 + x_3 = -5$. If no constraint indicating infeasibility is found, return to step 1.

The dual simplex method is often used in the following situations:

- Finding the new optimal solution after a constraint is added to an LP
- Finding the new optimal solution after changing an LP's right-hand side
- Solving a normal min problem

A Diet Problem

$$\text{Cost of cola} = \left(\frac{\text{cost}}{\text{bottle of cola}} \right) (\text{bottles of cola drunk}) = 30x_3$$

Type of Food	Calories	Chocolate (ounces)	Sugar (ounces)	Fat (ounces)
Brownie	400	3	2	2
Chocolate ice cream (1 scoop)	200	2	2	4
Cola (1 bottle)	150	0	4	1
Pineapple cheesecake (1 piece)	500	0	4	5

Constraint 1 Daily calorie intake must be at least 500 calories.

Constraint 2 Daily chocolate intake must be at least 6 oz.

Constraint 3 Daily sugar intake must be at least 10 oz.

Constraint 4 Daily fat intake must be at least 8 oz.

$$\begin{aligned} \min z &= 50x_1 + 20x_2 + 30x_3 + 80x_4 \\ \text{s.t.} \quad &400x_1 + 200x_2 + 150x_3 + 500x_4 \geq 500 \quad (\text{Calorie constraint}) \quad (01) \\ &3x_1 + 2x_2 \geq 6 \quad (\text{Chocolate constraint}) \quad (02) \\ &2x_1 + 2x_2 + 4x_3 + 4x_4 \geq 10 \quad (\text{Sugar constraint}) \quad (03) \\ &2x_1 + 4x_2 + x_3 + 5x_4 \geq 8 \quad (\text{Fat constraint}) \quad (04) \\ &x_i \geq 0 \quad (i = 1, 2, 3, 4) \quad (\text{Sign restrictions}) \end{aligned}$$

Case 1 The LP has a unique optimal solution.

Case 2 The LP has alternative or multiple optimal solutions: Two or more extreme points are optimal, and the LP will have an infinite number of optimal solutions.

Case 3 The LP is infeasible: The feasible region contains no points.

Case 4 The LP is unbounded: There are points in the feasible region with arbitrarily large z-values (max problem) or arbitrarily small z-values (min problem).

$$\begin{aligned} 5 \quad &\text{Let } A = \text{total number of units of A produced} \\ &B = \text{total number of units of B produced} \\ &CS = \text{total number of units of C produced (and sold)} \\ &AS = \text{units of A sold} \\ &BS = \text{units of B sold} \\ \max z &= 104S + 56BS + 100CS \\ \text{s.t.} \quad &A + 2B + 3C \leq 40 \\ &A = AS + 2B \\ &B = BS + CS \\ &\text{All variables} \geq 0 \end{aligned}$$

A Work-Scheduling Problem

1 Let x_1 = number of full-time employees (FTE) who start work on Sunday, x_2 = number of FTE who start work on Monday, $\dots$, x_7 = number of FTE who start work on Saturday; x_8 = number of part-time employees (PTE) who start work on Sunday, $\dots$, x_{14} = number of PTE who start work on Saturday. Then the appropriate LP is

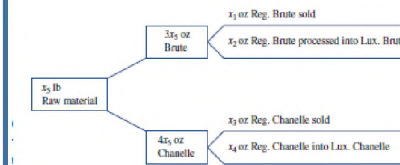
$$\begin{aligned} \min z &= 15(8)(5)(x_1 + x_2 + \dots + x_7) \\ &+ 10(4)(5)(x_8 + x_9 + \dots + x_{14}) \end{aligned}$$

$$\begin{aligned} \text{s.t.} \quad &8(x_1 + x_4 + x_5 + x_6 + x_7) + 4(x_8 + x_{11} + x_{12} + x_{13} + x_{14}) \geq 88 \quad (\text{Sunday}) \\ &8(x_1 + x_2 + x_5 + x_6 + x_7) + 4(x_8 + x_9 + x_{12} + x_{13} + x_{14}) \geq 136 \quad (\text{Monday}) \\ &8(x_1 + x_2 + x_3 + x_6 + x_7) + 4(x_8 + x_9 + x_{10} + x_{13} + x_{14}) \geq 104 \quad (\text{Tuesday}) \\ &8(x_1 + x_2 + x_3 + x_4 + x_7) + 4(x_8 + x_9 + x_{10} + x_{11} + x_{14}) \geq 120 \quad (\text{Wednesday}) \\ &8(x_1 + x_2 + x_3 + x_4 + x_5) + 4(x_8 + x_9 + x_{10} + x_{11} + x_{12}) \geq 152 \quad (\text{Thursday}) \\ &8(x_2 + x_3 + x_4 + x_5 + x_6) + 4(x_9 + x_{10} + x_{11} + x_{12} + x_{13}) \geq 112 \quad (\text{Friday}) \\ &8(x_3 + x_4 + x_5 + x_6 + x_7) + 4(x_{10} + x_{11} + x_{12} + x_{13} + x_{14}) \geq 128 \quad (\text{Saturday}) \\ &20(x_8 + x_9 + x_{10} + x_{11} + x_{12} + x_{13} + x_{14}) \leq 0.25(136 + 104 + 120 + 152 + 112 + 128 + 88) \\ &(\text{The last constraint ensures that part-time labor will fulfill at most 25\% of all labor requirements}) \\ &\text{All variables} \geq 0 \end{aligned}$$

Production Process Models

1 You have decided to enter the candy business. You are considering producing two types of candies: Slugger Candy and Easy Out Candy, both of which consist solely of sugar, nuts, and chocolate. At present, you have in stock 100 oz of sugar, 20 oz of nuts, and 30 oz of chocolate. The mixture used to make Easy Out Candy must contain at least 20% nuts. The mixture used to make Slugger Candy must contain at least 10% nuts and 10% chocolate. Each ounce of Easy Out Candy can be sold for 25¢, and each ounce of Slugger Candy for 20¢. Formulate an LP that will enable you to maximize your revenue from candy sales.

$$\begin{aligned} 1 \quad &\text{Let ingredient 1 = sugar, ingredient 2 = nuts, ingredient 3 = chocolate, candy 1 = Slugger, and candy 2 = Easy Out. Let } x_{ij} = \text{ounces of ingredient } i \text{ used to make candy } j. \\ &(\text{All variables are in ounces.}) \text{ The appropriate LP is} \\ \max z &= 25(x_{12} + x_{22} + x_{32}) + 20(x_{11} + x_{21} + x_{31}) \\ \text{s.t.} \quad &x_{11} + x_{12} \leq 100 \quad (\text{Sugar constraint}) \\ &x_{21} + x_{22} \leq 20 \quad (\text{Nuts constraint}) \\ &x_{31} + x_{32} \leq 30 \quad (\text{Chocolate constraint}) \\ &x_{22} \geq 0.2(x_{12} + x_{22} + x_{32}) \\ &x_{21} \leq 0.1(x_{11} + x_{21} + x_{31}) \\ &x_{31} \leq 0.1(x_{11} + x_{21} + x_{31}) \\ &\text{All variables} \geq 0 \end{aligned}$$



BLENDING PROBLEM

$$\begin{aligned} 1 \quad &\text{Let } x_1 = \text{hours of process 1 run per week} \\ &x_2 = \text{hours of process 2 run per week} \\ &x_3 = \text{hours of process 3 run per week} \\ &g_2 = \text{barrels of gas 2 sold per week} \\ &o_1 = \text{barrels of oil 1 purchased per week} \\ &o_2 = \text{barrels of oil 2 purchased per week} \\ \max z &= 9(2x_1) + 10g_2 + 24(2x_3) - 5x_1 - 4x_2 \\ &- x_3 - 2o_1 - 3o_2 \\ \text{s.t.} \quad &o_1 = 2x_1 + x_2 \\ &o_2 = 3x_1 + 3x_2 + 2x_3 \\ &o_1 \leq 200 \\ &o_2 \leq 300 \\ &g_2 + 3x_3 = x_1 + 3x_2 \quad (\text{Gas 2 production}) \\ &x_1 + x_2 + x_3 \leq 100 \quad (\text{100 hours per week of cracker time}) \\ &\text{All variables} \geq 0 \\ &x_1 = \text{number of ounces of Regular Brute sold annually} \\ &x_2 = \text{number of ounces of Luxury Brute sold annually} \\ &x_3 = \text{number of ounces of Regular Channelle sold annually} \\ &x_4 = \text{number of ounces of Luxury Channelle sold annually} \\ &x_5 = \text{number of pounds of raw material purchased annually} \\ \max z &= 7x_1 + 14x_2 + 6x_3 + 10x_4 - 3x_5 \\ \text{s.t.} \quad &x_5 \leq 4,000 \\ &3x_2 + 2x_4 + x_5 \leq 6,000 \\ &x_1 + x_2 - 3x_5 = 0 \\ &x_3 + x_4 - 4x_5 = 0 \\ &x_i \geq 0 \quad (i = 1, 2, 3, 4, 5) \end{aligned}$$

An Inventory Model

1 A customer requires during the next four months, respectively, 50, 65, 100, and 70 units of a commodity (no backlogging is allowed). Production costs are \$5, \$8, \$4, and \$7 per unit during these months. The storage cost from one month to the next is \$2 per unit (assessed on ending inventory). It is estimated that each unit on hand at the end of month 4 could be sold for \$6. Formulate an LP that will minimize the net cost incurred in meeting the demands of the next four months.

$$\begin{aligned} &\text{Let } x_t = \text{production during month } t \text{ and } i_t = \text{inventory at end of month } t. \\ \min z &= 5x_1 + 8x_2 + 4x_3 + 7x_4 \\ &+ 2i_1 + 2i_2 + 2i_3 + 2i_4 - 6i_4 \\ \text{s.t.} \quad &i_1 = x_1 - 50 \\ &i_2 = i_1 + x_2 - 65 \\ &i_3 = i_2 + x_3 - 100 \\ &i_4 = i_3 + x_4 - 70 \\ &\text{All variables} \geq 0 \end{aligned}$$

$$i_t - b_t = i_{t-1} - b_{t-1} + X_t - d_t$$

Solution:

Define variables:

C1 = number of cars to be produced in month 1
C2 = number of cars to be produced in month 2
T1 = number of trucks to be produced in month 1
T2 = number of trucks to be produced in month 2
S1 = tons of steel used in month 1
S2 = tons of steel used in month 2
IC1 = number of cars in inventory at end of month 1
IT1 = number of trucks in inventory at end of month 1
IC2 = number of cars in inventory at end of month 2
IT2 = number of trucks in inventory at end of month 2

Objective:

$$\text{Minimize } 400 S1 + 600 S2 + 150 IC1 + 150 IT1 + 150 IC2 + 150 IT2$$

Constraints:

$$\begin{aligned} &\text{Production capacity constraints: } C1 + T1 \leq 1000, \quad C2 + T2 \leq 1000 \\ &\text{Steel usage: } C1 + 2 T1 = S1, \quad C2 + 2 T2 = S2 \\ &\text{Material balance equations: } 200 + C1 = 800 + IC1, \quad 100 + T1 = 400 + IT1 \\ &IC1 + C2 = 300 + IC2, \quad IT1 + T2 = 300 + IT2 \\ &\text{Demand constraints: } C2 \geq 300, \quad T2 \geq 300 \\ &\text{Gasoline economy constraints:} \\ &\frac{20C1 + 10T1}{C1 + T1} \geq 16 \quad \text{and} \quad 4C1 - 6T1 \geq 0 \\ &\frac{20C2 + 10T2}{C2 + T2} \geq 16 \quad \text{and} \quad 4C2 - 6T2 \geq 0 \end{aligned}$$

Cash Flow (\$) at Time*

	0	1	2	3
A	-1	+0.50	+1	0
B	0	-1	+0.50	+1
C	-1	+1.2	0	0
D	-1	0	0	+1.9
E	0	0	-1	+1.5

*Note: Time 0 = present; time 1 = 1 year from now; time 2 = 2 years from now; time 3 = 3 years from now.

$$\begin{aligned} 53 \quad &\text{Let } T_1 = \text{number of type 1 turkeys purchased} \\ &T_2 = \text{number of type 2 turkeys purchased} \\ &D_1 = \text{pounds of dark meat used in cutlet 1} \\ &W_1 = \text{pounds of white meat used in cutlet 1} \\ &D_2 = \text{pounds of dark meat used in cutlet 2} \\ &W_2 = \text{pounds of white meat used in cutlet 2} \\ &\text{Then the appropriate formulation is} \\ \max z &= 4(W_1 + D_1) + 3(W_2 + D_2) - 10T_1 - 8T_2 \\ \text{s.t.} \quad &W_1 + D_1 \leq 50 \quad (\text{Cutlet 1 demand}) \\ &W_2 + D_2 \leq 30 \quad (\text{Cutlet 2 demand}) \\ &W_1 + W_2 \leq 5T_1 + 3T_2 \quad (\text{Don't use more white meat than you have}) \\ &D_1 + D_2 \leq 2T_1 + 3T_2 \quad (\text{Don't use more dark meat than you have}) \end{aligned}$$

A = dollars invested in investment A
B = dollars invested in investment B
C = dollars invested in investment C
D = dollars invested in investment D
E = dollars invested in investment E
 S_t = dollars invested in money market

$$\begin{aligned} \max z &= B + 1.9D + 1.5E + 1.08S_2 \\ \text{s.t.} \quad &A + C + D + S_0 = 100,000 \\ &0.5A + 1.2C + 1.08S_0 = B + S_1 \\ &A + 0.5B + 1.08S_1 = E + S_2 \\ &A \leq 75,000 \\ &B \leq 75,000 \\ &C \leq 75,000 \\ &D \leq 75,000 \\ &E \leq 75,000 \\ &A, B, C, D, E, S_0, S_1, S_2 \geq 0 \end{aligned}$$